GS Consumer: Top 10 Observations

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Observations:

1. No one size fits all approach for Consumer. The consumer feels steady, but more picky. We are not in a consumer environment that is so good that all companies are seeing solid trends, nor are things so weak that we are seeing a coordinated slowdown.

Income Disparity: Multiple companies are calling out weakness with spending from low income cohorts vs strength for premium/upper income.

3. Tariffs: Stocks are not brushing aside tariff guide-downs, especially in apparel.

4. Housing stocks (cyclical rotation?): Builders/housing names are largely looking past near-term gross margin (incentive increases) and seem to be focusing on hopes for better trends in 2026. Housing falls between consumer & industrials, so it's worth noting that Industrials has seen 9 straight weeks of buying in the PB world (driven by short covering this week), with net exposure is at 5-year highs.

5. Singles: Some of the most asked inbounds this week: KDP, BIRK, EL, HSY, PM

6. Event of the week (ahead): NKE CFO meeting with GS this Tuesday.

7. Trading – Most Active: Some of the most active traded names this week @ GS: ACI, AEO, AS, BIRK, DECK (after-mkt on EPS), NKE, VIK, MAR

8. PB tidbit of the week: While the market holds in great, worth noting that this week's $ long selling (GS PB) was largest in 6 months). Consumer discretionary was a top active sector and was bought, but the bulk of the activity short covers.

9. EPS in the week ahead: Low expectations for PG, investors playing for upside in cruise reports, restaurant reports expected to be better next week vs this past week.

10. Defending dips? Better to buy post EPS, but seeing minimal rush to defend "growth scares (CMG, PM)." Seeing token adds only.

A Bit More Detail on the Observations From Above:

Dispersion: Dispersion feels like it's really picking up, both across sub-sectors and within the, Consumers are picking which end markets to spend money in and picking their favored companies within each category. This week, we heard mixed trends from restaurants (CMG weak, DPZ good), soft from toys (HAS & MAT), better than expected in footwear (DECK) and a mixed bag in housing (SHW, TSCO, DHI, PHM). *Bottom-line, there is definitely no one size fits all approach.*

Income disparity: There does seem to be building disparity of trends between high vs low consumers. Chipotle said traffic was -5% in 2Q and said it was negatively impacted by softening consumer sentiment with lower income consumers increasingly seeking value. They said the brand saw a shift toward lower-priced entrees. Brunswick (BC) said YTD boat unit retail sales in the value category were underperforming their initial expectations for the year, but they were seeing resilience in the premium and core categories.

Tariffs Tariff exposed apparel names are not getting passes for guides heavily impacted by tariffs, even if sales beat. CRI is the latest example of this, with the stock -20% on Friday. They beat sales, but noted a $125-150M incremental tariff impact to the business form current tariff rates (which is about 50% of the total of EBIT form the prior year). They noted they plan to offset a;; of this in 2026, which is pretty significant mitigation and pricing actions that will need to get taken.

Housing: DHI had its largest one day move since the Great Financial Crisis this week. This was due to EPS, despite most investors pointing out to us that this was not a perfect print and that margins (from incentives) will remain pressured into 2026. We have noted for a few weeks now that we have had LO buying in the housing space. I would also highlight a very notable Industrial PB tidbit this week from our team. Housing falls between consumer & industrials, so it's worth noting that Industrials has seen 9 straight weeks of buying in the PB world (driven by short covering this week), with net exposure at 5-year highs.

Singles Conversations:

- KDP: Generally a preferred name still coming out of EPS, with upside to both sales and margins, but small pushback that supply remains an overhang and that Ghost drove a lot of the upside.
- BIRK: Minimal push to our team's buy upgrade this week. Very active on the trading side, both before and after the upgrade. *Reach out for details.*
- EL: A very important quarter ahead. Most of our inbounds this year have flipped from short, to uninvolved, to interested longs. A combination of better market share, a management plan, and the age old dream of much higher EPS power.
- HSY: Yes, there is much more interest in the name since the focus on higher pricing in confectionary, however, we have picked up more interest to own this before that. A top-line beat very much expected this week.
- PM: Investors seem very interested to defend it, but do not seem in a rush, given we may have to wait until 4Q to get full clarity on the re-acceleration in Zyn.

NKE Corporate Access This Week: Brooke Roach is hosting the NKE CFO and IR this Tuesday. The event was significantly oversubscribed and both Brooke and I have a pretty full calendar of callbacks to make. Also, this was one of our most actively traded names on the desk this week.

Some EPS Standouts in the Week Ahead:

- PG: As low of expectations and sentiment as I can remember.

- RCL: A clear beat and raise expected. Widespread l buying of most of the cruise lines the last 2 weeks, NCLH especially.
- SBUX: Still sluggish but better expectations for QTD due to easier compares. Can they navigate the improving comp angle that CMG did not?
- HSY: Much less negative expectations and positioning vs prior quarters but still a far cry from a crowded long?
- SHAK: Good quarter and commentary expected, unlike most in restaurant world

Defending dips? Following disappointing prints from both CMG and PM, the stocks were better to buy on our desk. However, they felt like token adds, opposed to backing up the truck. For CMG, we also did hear from outright bears (most focused on valuation for company likely comping +low-singles). For PM, it's more about just figuring out the catalyst path and deciding if bulls need to wait too long (4Q) to get clarity on the Zyn re-acceleration.